The Amateur Advantage

HERE'S SOMETHING COUNTERINTUITIVE: Main Street investors have many advantages over the professionals.

Charles Ellis,[397] when he was overseeing the endowment fund at Yale University (now at $41 billion!), made this observation:

> Watch a pro football game, and it's obvious the guys on the field are far faster, stronger and more willing to bear and inflict pain than you are. Surely you would say, "I don't want to play against those guys!"
>
> Well, 90 percent of stock market volume is done by institutions, and half of that is done by the world's 50 largest investment firms, deeply committed, vastly well prepared—the smartest sons of bitches in the world working their tails off all day long. You know what? I don't want to play against those guys either.[398]

You don't want to get on the same field as investing pros. They have the tools, the manpower, the capital, political connections, inside information—everything goes their way. It's called the *home-field advantage* for a reason. If you try to compete against them in their stadium, playing their game by their rules, the outcome is very likely to be what *they want*: You and your portfolio's losses are their gains.

But here is the thing: People who are not professional investors—the mom-and-pop investors I often refer to—get to play a different game. There are lots of things that you, as an individual investor, don't have to do, deal with, pay for, or worry about.

Let's review the six advantages you have over the pros.

1. Benchmarks

Everyone who manages money for other people is measured against a benchmark. It doesn't matter if you run a portfolio of stocks, bonds,